

ABC Appliances Ltd

FY 2027 Budget and forecast review

Overview of the Company



- **ABC Appliances Ltd.** is a mid-sized consumer appliances manufacturing company specializing in home appliances such as refrigerators, washing machines, air conditioners, and kitchen appliances. The company operates across India through a network of distributors, dealers, and retail partners.
- ABC Appliances focuses on delivering high-quality products at competitive prices while maintaining strong customer satisfaction. The company prepares annual budgets and periodic forecasts to support strategic planning, monitor financial performance, and make informed business decisions.
- The Finance and FP&A team plays a key role in budgeting, forecasting, variance analysis, and performance reporting to help management achieve its financial objectives.

Key Facts



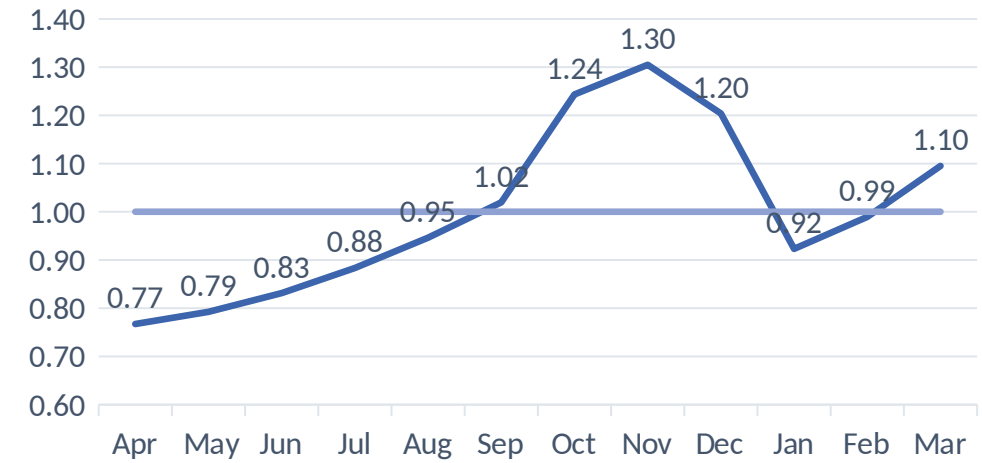
- **Industry:** Consumer Durables / Home Appliances
- **Headquarters:** Bengaluru, India
- **Business Model:** Manufacturing and Distribution
- **Products:** Refrigerators, Washing Machines, Air Conditioners, Kitchen Appliances
- **Sales Channels:** Dealers, Distributors, Retail Stores, E-commerce
- **Employees:** ~1,200
- **Annual Revenue:** ~\$180 Million (Illustrative)

Historical Sales

Month	FY24A	FY25A	FY26A	Trend
Apr	7,850	8,320	8,920	
May	8,120	8,650	9,150	
Jun	8,540	9,020	9,630	
Jul	9,120	9,620	10,150	
Aug	9,780	10,250	10,920	
Sep	10,520	11,080	11,740	
Oct	12,850	13,520	14,300	
Nov	13,480	14,180	15,020	
Dec	12,420	13,080	13,880	
Jan	9,520	10,050	10,620	
Feb	10,180	10,760	11,420	
Mar	11,260	11,920	12,640	
Total	1,23,640	1,30,450	1,38,390	

- No of units sold in FY26 is 1,38,390 grown at a CAGR of 5.8%
- Steady uptrend in the no of units sold over 3 years.
- There is seasonality in buyer behaviour due to increased buying during festive season

Seasonality Chart



Sales Forecast Assumptions

Sales volume forecast has been developed by giving equal weights to statistical forecast using regression with seasonal indices and separate management forecast based on the company's 10% growth target.

- Statistical Forecast (Regression + Seasonality): 50%
- Management Forecast: 50%

Sales price forecast is based on management guidance of 5%

- Selling price per unit – 5%

Sales Volume and Price Forecast



Month	FY27F (MA)	FY27F (RA)	FY27F	SI (F)
Apr	9,306	9,732	9,519	0.77
May	9,614	10,053	9,834	0.79
Jun	10,085	10,546	10,316	0.83
Jul	10,716	11,205	10,961	0.88
Aug	11,480	12,004	11,742	0.95
Sep	12,366	12,931	12,649	1.02
Oct	15,085	15,774	15,430	1.24
Nov	15,831	16,554	16,192	1.30
Dec	14,607	15,274	14,940	1.20
Jan	11,198	11,710	11,454	0.92
Feb	12,003	12,551	12,277	0.99
Mar	13,286	13,893	13,590	1.10
Total	1,45,577	1,52,229	1,48,903	

Particular	Price per unit
FY24A	9,400
FY25A	9,700
FY26A	10,000
FY27F	10,500

- The projected total volume based on regression and seasonality is 145577 units and based management guidance of a 10% growth is 152229 units
- The projected volume giving equal weights to both is 148903 units

Final Sales Budget

Month	Units	Price per unit	Revenue (in ₹)
Apr	9,519	10,500	9,99,48,295
May	9,834	10,500	10,32,54,676
Jun	10,316	10,500	10,83,13,836
Jul	10,961	10,500	11,50,85,941
Aug	11,742	10,500	12,32,92,138
Sep	12,649	10,500	13,28,12,920
Oct	15,430	10,500	16,20,12,641
Nov	16,192	10,500	17,00,19,659
Dec	14,940	10,500	15,68,73,809
Jan	11,454	10,500	12,02,64,609
Feb	12,277	10,500	12,89,09,001
Mar	13,590	10,500	14,26,92,225
Total	1,48,903		1,56,34,79,750

- The budgeted volume is 1,48,903 units, a YOY growth of 7.6%
- The budgeted revenue based on price per unit of ₹10,500 is Rs.156.34 crores, a YOY growth of 12.98%

Q1FY27 Actual

Q1FY27 Actuals		
Month	Actual Units Sold	Actual Selling Price
April	9,100	10,500
May	9,350	10,300
June	9,900	10,200

Month	Q1FY26	Q1FY27
Apr	8,920	9,100
May	9,150	9,350
Jun	9,630	9,900
Total	27,700	28,350

- The Q1FY27 actual volume stood at 28350 units, a QoQ rise of 2.35%
- Price per unit varied each month

Total Sales Variance

Total Variance				
Month	Actual Units Sold	Actual SP	Budgeted Units	Budgeted SP
April	9,100	10,500	9,519	10,500
May	9,350	10,300	9,834	10,500
June	9,900	10,200	10,316	10,500
		29,28,35,000		31,15,16,807
Total Variance				-1,86,81,807

- The total sales variance in comparison with budgeted sales and actual sales is ₹-1,86,81,807
- It is an adverse variance

Total Volume Variance

Volume Variance					
Month	Actual Units Sold	Budgeted Units	Difference	Difference %	
April	9,100	9,519	-419	-4.40%	
May	9,350	9,834	-484	-4.92%	
June	9,900	10,316	-416	-4.03%	
			-1,318		
Total Volume Variance					-1,38,41,807

- We have sold 1,318 units less than the budgeted units. That's where the volume variance of ₹1,38,41,807 adverse arises.
- This is due to new competitor entering with a new product with competitive prices and extensive marketing campaigning

Total Price Variance

Price variance				
Month	Actual Selling Price	Budgeted SP	Difference	Difference %
April	10,500	10,500	-	-
May	10,300	10,500	-200	-1.90%
June	10,200	10,500	-300	-2.86%
			-500	
Total Volume Variance				-48,40,000

- The selling price was reduced by dealers in the month of may and June to stay competitive with the new competitor by offering discounts
- This gave rise to the adverse total price variance of ₹48,40,000

Revised assumptions

Item	Assumption
Q2 Sales Volume	4% below Budget
Q3 Sales Volume	2% below Budget
Q4 Sales Volume	As per Budget
Q2 Selling Price	10,300
Q3 Selling Price	10,400
Q4 Selling Price	10,500

- Revised assumptions were obtained from respective departments after due considerations by market research
- The sales head, after due consideration market disruption by the competitor through extensive marketing campaigns, advised to keep prices intact and volumes conservatively
- Revised assumptions are used to build rolling forecasts for the next three quarters

Rolling forecasts based on revised assumptions

	Particulars	Price	Volume	Sales (in ₹)	
Q1 FY27	Apr	10,500	9,100	9,55,50,000	Actuals
	May	10,300	9,350	9,63,05,000	
	Jun	10,200	9,900	10,09,80,000	
Q2 FY27	Jul	10,300	10,522	10,83,78,074	Rolling Forecast
	Aug	10,300	11,272	11,61,05,968	
	Sep	10,300	12,143	12,50,71,824	
Q3 FY27	Oct	10,400	15,121	15,72,60,270	
	Nov	10,400	15,869	16,50,32,416	
	Dec	10,400	14,642	15,22,72,177	
Q4 FY27	Jan	10,500	11,454	12,02,64,609	
	Feb	10,500	12,277	12,89,09,001	
	Mar	10,500	13,590	14,26,92,225	
Total			1,45,239	1,50,88,21,565	

Summary		
Particulars	Volume	Sales (in ₹)
Revised	1,45,239	1,50,88,21,565
Budgeted	1,48,903	1,56,34,79,750
Difference	-3,664	-5,46,58,185
Difference%	-2.46%	-3.50%

Suggestions

- Increase marketing in underperforming regions.
- Monitor competitor pricing monthly.
- Maintain conservative volume forecasts until demand stabilizes.
- Review promotional strategy before revising selling prices.